Eli Lilly and Company (LLY-US)

2Q26 earnings update

Ticker	LLY-US		Date of Pricing	9/17/26	ADTV	$ 0.9		Cash & Equi	$7.2	6.4%	Curr Liab	$31.8	28.3%			
Name	Eli Lilly and Company		Share Price	$ 1,137.82	Short Interest / Total	0.93		Intangibles	$12.4	11.0%	LT Liab	$42.0	37.3%			
Sector	Health Technology		Market Cap (bn)	$ 1,071	Oustanding Shares	941.5		Fixed Assets	$25.9	23.1%	Com Equity	$26.5	23.6%			
Location	United States		Net Debt	$ 46.0	Float	90.1%		Total Assets	$112.5		TL & SE	$112.5				
Currency	U.S. Dollar		Other	$ (54.2)	Beta	0.6x										
Fiscal Yr	12		Enterprise Value	$ 1,062.8	Div Yield	0.6%										
PE NTM	26.2x															
Fund	PFOE															
Weight	4.3%															

Financial Summary	**Mar-24**	**Jun-24**	**Sep-24**	**Dec-24**	**Mar-25**	**Jun-25**	**Sep-25**	**Dec-25**	**Mar-26**	**Jun-26**	**2025**	**2026E**	**2027E**	**2028E**	**2029E**
Revenue	8,768	11,303	11,439	13,533	12,729	15,558	17,601	19,292	19,799	22,974	65,179	88,292	101,865	113,795	122,946
y/y Growth					*45%*	*38%*	*54%*	*43%*	*56%*	*48%*	*45%*	*35%*	*15%*	*12%*	*8%*
Operating Income	2,716	3,701	1,781	5,263	3,700	6,777	7,412	8,388	8,850	9,247	25,731	40,765	51,116	58,197	65,484
Operating Margin	*31.0%*	*32.7%*	*15.6%*	*38.9%*	*29.1%*	*43.6%*	*42.1%*	*43.5%*	*44.7%*	*40.2%*	*39.5%*	*46.2%*	*50.2%*	*51.1%*	*53.3%*
EBITDA	3,116	4,115	2,248	5,748	4,163	7,255	7,882	8,974	9,359	9,781	27,728	43,907	54,218	62,065	70,515
EBITDA Margin	*35.5%*	*36.4%*	*19.7%*	*42.5%*	*32.7%*	*46.6%*	*44.8%*	*46.5%*	*47.3%*	*42.6%*	*42.5%*	*49.7%*	*53.2%*	*54.5%*	*57.4%*
EPS	2.48	3.28	1.07	4.65	3.06	6.29	6.21	7.02	8.26	7.94	22.95	36.41	46.70	53.61	60.60
y/y Growth					*23%*	*92%*	*479%*	*51%*	*169%*	*26%*	*96%*	*59%*	*28%*	*15%*	*13%*
Avg Diluted Shares	904	904	905	948	901	900	899	945	896	894	899	896	892	890	887
y/y Growth					*0%*	*0%*	*-1%*	*0%*	*-1%*	*-1%*	*-1%*	*0%*	*0%*	*0%*	*0%*
Cap Ex	1,083	1,403	4,171	1,747	3,267	1,805	2,808	2,970	2,530	6,215	10,849	8,450	7,511	6,247	5,940
FCF	180	241	2,361	978	156	1,390	6,748	678	3,007	7,757	8,972	21,462	33,641	43,370	49,178
DPS	1.30	1.30	1.30	1.30	1.50	1.50	1.50	1.50	1.73	1.73	6.00	6.88	7.66	8.43	10.00
y/y Growth					*15%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*	*11%*	*10%*	*19%*
Dividend Yield											0.5%-1%	0.6%	0.7%	0.7%	0.9%
FCF Yield											0.4%-0.7%	2.0%	3.1%	4.0%	4.6%
P/E											27.2x-48.5x	31.2x	24.4x	21.2x	18.8x
FCF Margin	2%	2%	21%	7%	1%	9%	38%	4%	15%	34%	14%	24%	33%	38%	40%
ROA	10%	12%	13%	15%	14%	16%	19%	22%	25%	22%					
ROE	51%	60%	66%	85%	78%	87%	97%	101%	108%	102%					

Recommendation: **Maintain position in PFOE**

Eli Lilly delivered a substantial "beat-and-raise" performance in its Q2 2026 earnings, reporting 48% revenue growth driven by unprecedented demand for its incretin portfolio. Total revenue of $22.97bn exceeded consensus expectations by 11%, with outperformance primarily fueled by the cardiometabolic health segment, which reached $18.35bn in revenue for the quarter. Mounjaro and Zepbound grew 91% and 46% year-over-year, respectively, beating consensus by 11% and 6%. While the company significantly raised its full-year revenue and performance margin guidance, a large acquired IPR&D charge resulted in a slight reduction to the reported EPS midpoint, which analysts largely viewed as a non-recurring accounting event that does not detract from robust underlying fundamentals. The investment community has responded with aggressive upward revisions to long-term forecasts, with some analysts now seeing $50 in EPS as achievable by 2027.

Headline results

Positives

- Broad-based revenue beat, with sales of $23.0bn growing 48% year-over-year, beating consensus and continuing the beat-and-raise pattern of the prior several quarters. H1 2026 revenue reached $42.8 billion, up 51%. Incretin franchise momentum continued as combined Mounjaro and Zepbound sales hit $14.9bn in the quarter (Mounjaro $9.9B, +91%, Zepbound $4.9B, +46%), underscoring the incretin franchise's continued scale-up. Margins expanded with non-GAAP gross margin expanding to 86.3% (+130 bps y/y) on better production costs and favorable mix, partly offsetting price declines. Guidance was raised again, with full-year revenue guidance raised to $85-87bn from $82-85bn previously, the second consecutive quarterly raise this year (following the Q1 2026 raise). Pipeline products are scaling meaningfully, with newer launches including Ebglyss (+131% to $201M), Kisunla (from $49M to $167M) and Jaypirca (+56% to $192M), diversifying growth beyond the incretins.

Negatives

- EPS was diluted by deal charges. GAAP EPS growth (+26%) lagged revenue growth (+48%) and non-GAAP EPS growth (+33%), reflecting $3.03/share of acquired IPR&D charges tied to the Orna, Ajax, Centessa and Kelonia deals plus a $703M asset-impairment/restructuring charge. Tax rate stepped up, as the reported effective tax rate rose to 23.3% from 16.5% a year ago (non-GAAP rate to 22.2% from 16.5%), largely because IPR&D charges are mostly non-deductible, a drag that recurs with each bolt-on acquisition. Pricing declined across both regions, and growth was “entirely from volume,” per the release. US net pricing fell roughly 3% (about 9% excluding one-time rebate adjustments) and international pricing fell approximately 36%, mainly from Mounjaro's addition to China's National Reimbursement Drug List (NRDL). Non-GAAP EPS guidance ceiling was actually lowered

to $35.50-36.50 from $35.50-37.00 even as revenue guidance rose, because the $2.78/share of operational upside was more than offset by the $3.03/share of new IPR&D charges. While the operational trend is favorable, further bolt-on M&A could repeat this pattern in future quarters. Oral GLP-1 launch is off to a slow start. Foundayo (oral orforglipron) launch in the US was described by management as slower than anticipated despite heavy promotional spend, though new-patient share had recently "inflected."

Geographic highlights

- Rest of world had most impact with 136% constant currency growth, followed by China at 93%. Europe grew 55%, US 33%, and Japan 30%. International incretin market expanded 74% YoY with Lilly maintaining 55% global market share leadership. The US remains the larger profit pool (37% volume growth at a much smaller price decline), while ex-US growth is increasingly a volume story funded by steep price concessions, most visibly in China, where NRDL inclusion traded price for a much larger addressable population.

Segment highlights

- Within Mounjaro, US revenue was $4.8B (+45%) and international revenue $5.2B (+172%). International now contributes more than half of Mounjaro sales, a mix shift toward the lower-price, higher-volume international book. Zepbound remains US-only at this stage ($4.9B, +44% domestically), so its growth is a purer read on US obesity-market share versus compounded/generic competition and payer access. On the oral GLP-1 franchise, Foundayo (oral orforglipron) was submitted to the FDA for type 2 diabetes during the quarter and generated its first meaningful revenue post-launch, though management flagged a slower-than-expected US ramp. Oncology, Immunology, and Neuroscience collectively grew 121% YoY. Legacy products (Trulicity, Verzenio, Jardiance, Taltz, Humalog/Humulin, Cyramza, Alimta, Olumiant, Emgality, Cymbalta) were not broken out individually in the release as growth continues to be dominated by the incretin and newer-launch portfolio.

Headwinds and risks

- Pricing/rebate pressure and growth impact – Realized price is falling across both US and international books (down 9% and 36%, respectively, on the metrics disclosed). The release and call both frame current growth as "entirely from volume." As it relates to formulary/channel mix, the Zepbound "medical exception" channel is expected to shrink as CVS Caremark returns the product to standard formulary status, which should pressure realized price per prescription even as volumes hold up. Continued acceleration of price erosion is flagged by outside analysts as the most likely mechanism to break the bull thesis. Management guided to slower H2 2026 growth on tougher comparisons, one-time rebate adjustments unwinding, and seasonal effects (European summer vacation impact on Q3 volumes, diabetes seasonality in Q4).
- Emerging generic competition – Generic/compounded semaglutide competition is emerging in markets such as India and Brazil. While Mounjaro is still growing in those markets, it is a reminder that incretin pricing power is not uniform globally.
- Oral GLP-1 launch execution and retatrutide regulatory timeline – Foundayo's US launch trajectory has been slower than the company initially anticipated, an early signal worth monitoring given how central the oral GLP-1 opportunity is to the long-term thesis. Retatrutide's regulatory pathway is the subject of active discussion with the FDA. Management now expects a BLA submission in Q1 2027 rather than sooner, pushing out a key pipeline catalyst.
- M&A/IPR&D charges – The company disclosed $2.8B of acquired IPR&D charges in the quarter (Orna, Ajax, Centessa, Kelonia) plus $703M of asset impairment/restructuring, versus a combined $154M a year ago, a direct drag on GAAP and non-GAAP EPS and, via non-deductibility, on the effective tax rate.

Guidance

- INCREASED full-year 2026 guidance for the second straight quarter, with revenue range UPDATED to $85-87B (up $2-3B), representing 32% projected annual growth, non-GAAP performance margin INCREASED to 49-50.5% (+200 bps), signaling underlying operating leverage, and non-GAAP EPS RAISED to $35.50-36.50 (+$2.78 midpoint), reflecting strong H1 2026 performance. Management signaled a shift in capital allocation toward increased business development, characterized by larger and more frequent deals such as the recent infectious disease platform acquisitions and the $2.8 billion IPR&D charge related to Centessa.

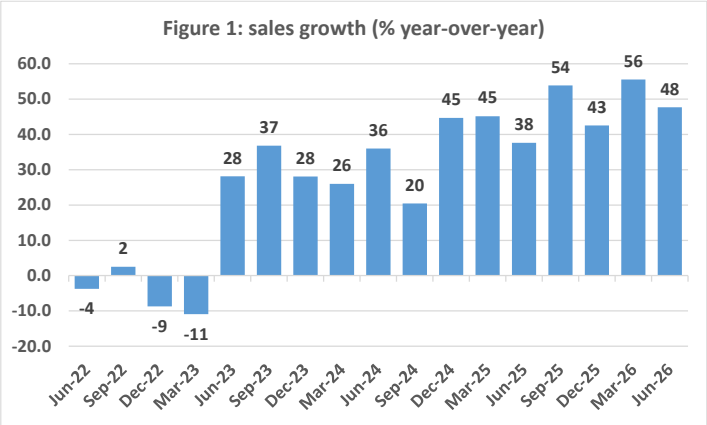
Rating actions and target price changes

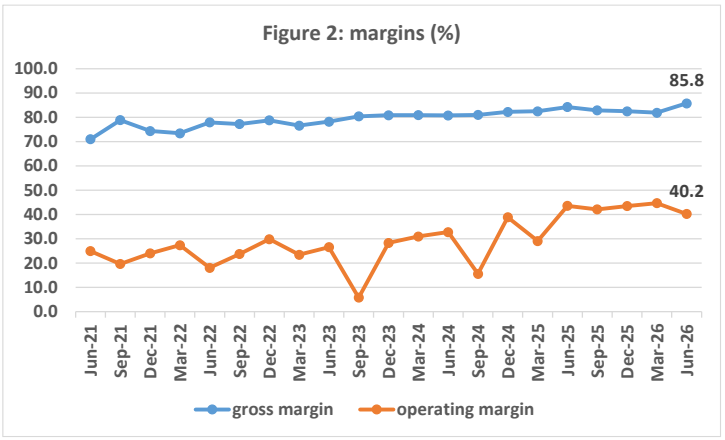
The investment community largely responded with target price increases and bullish upward revisions to long-term forecasts. Consensus expectations have reset significantly higher, moving from a "supply-catching-up" story to a "category-expansion" thesis.

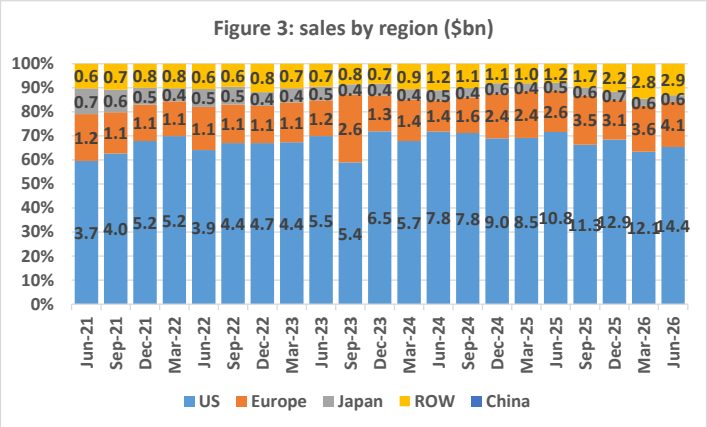
The primary drivers of the thesis are now the velocity of Medicare uptake, the global rollout of Foundayo (particularly its oral-at-scale potential), and pricing elasticity. Lilly is signaling it will trade price for volume to broaden its market reach before major patent cliffs in the 2030s. The risk/reward profile has evolved into a "durable growth" narrative with limited loss-of-exclusivity (LOE) risk for the next 10 years. However, some analysts (HSBC) caution that TAM expectations of $150bn+ could be optimistic if pricing compresses more rapidly due to semaglutide generics and intensified competition later this decade. The Q2 print suggests that LLY is successfully leveraging its cardiometabolic leadership to fund massive expansion into new therapeutic areas and manufacturing scale, supporting a valuation premium that remains at the high end of the pharmaceutical sector.

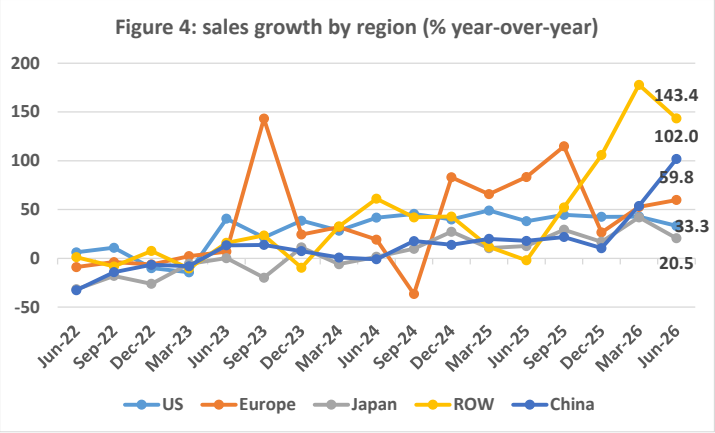
Broker	Action	Target Price	Valuation Basis / Key Assumptions	Source
RBC Capital	Outperform	$1,500	32x P/E; Foundayo peak sales of $35B+ ex-US.	[43]
UBS	Buy	$1,425	$50 EPS in play; market share leader in 2027.	[44] [45]
JPMorgan	Overweight	$1,400	DCF (8.5% WACC, 2.5% Terminal Growth).	[46]
Bernstein	Outperform	$1,385	Blend of DCF (7.6% WACC) and 32x '27E P/E.	[47] [48]
Leerink	Outperform	$1,309	25x '27E EPS; 1.4x PEG on 17.5% 5-yr CAGR.	[49]
HSBC	Reduce	$940	Adjusted Present Value (6.4% WACC); pricing compression risks.	[50]

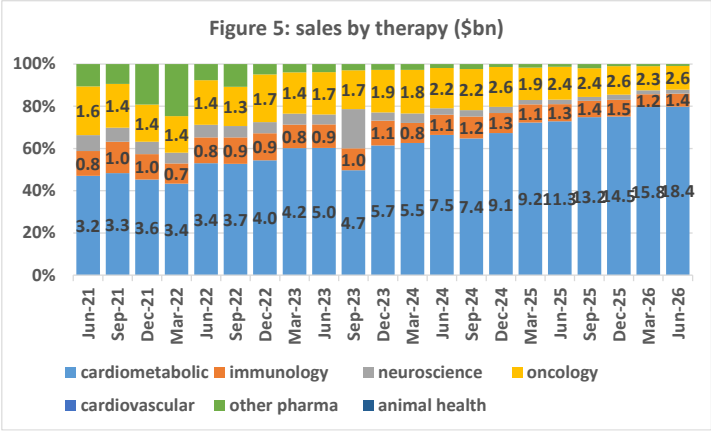
Appendix

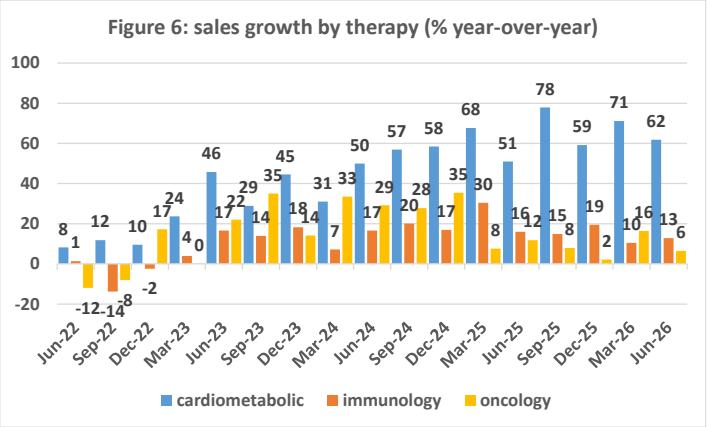


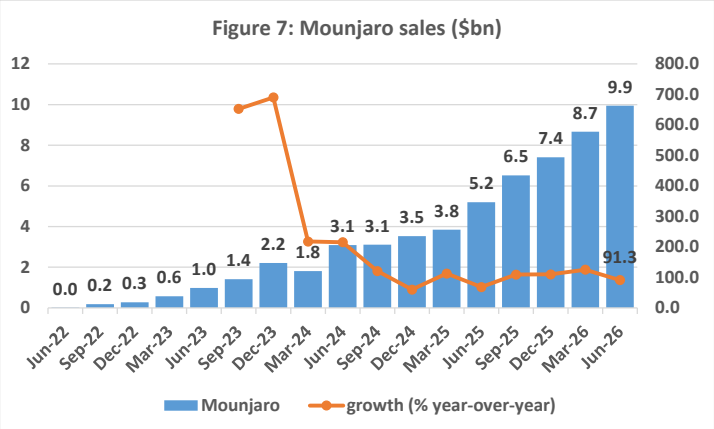


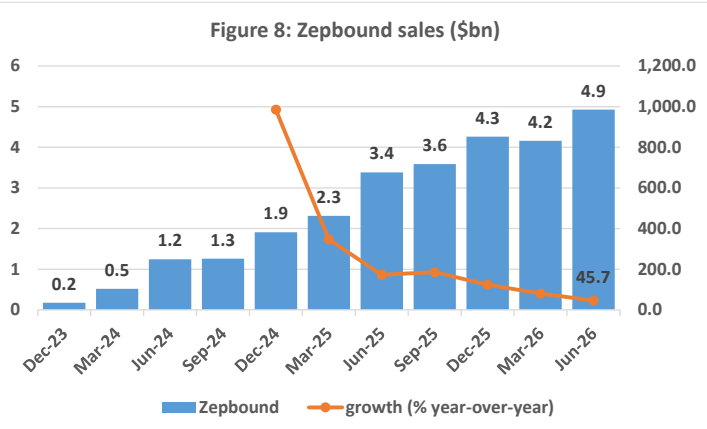

Figure 3: sales by region ($bn)
US
Europe
Japan
ROW
China

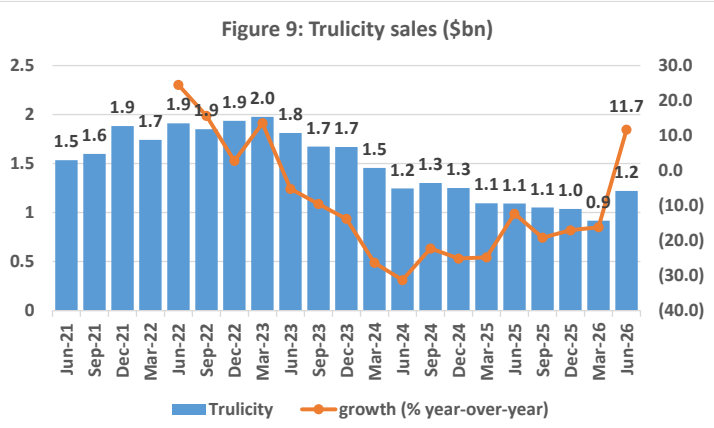

Figure 4: sales growth by region (% year-over-year)
US
Europe
Japan
ROW
China

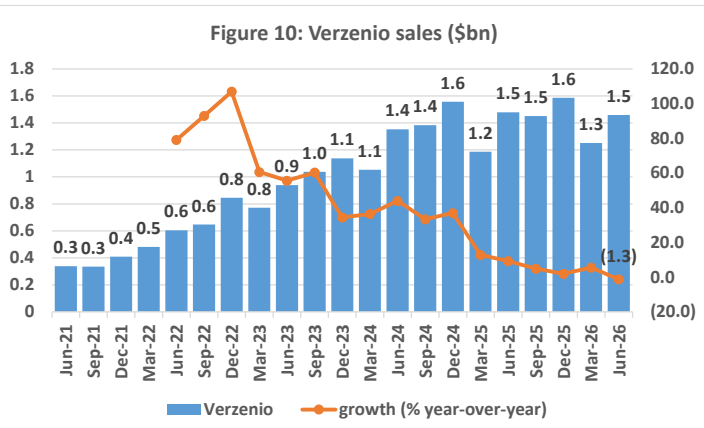

Figure 5: sales by therapy ($bn)
cardiometabolic
immunology
neuroscience
oncology
cardiovascular
other pharma
animal health

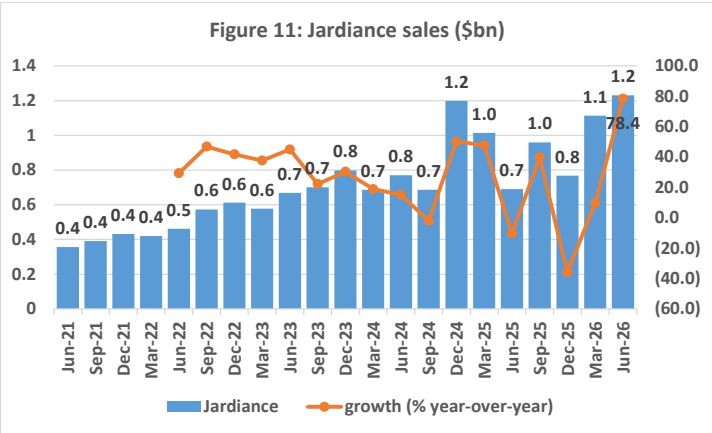

Figure 6: sales growth by therapy (% year-over-year)
cardiometabolic
immunology
oncology

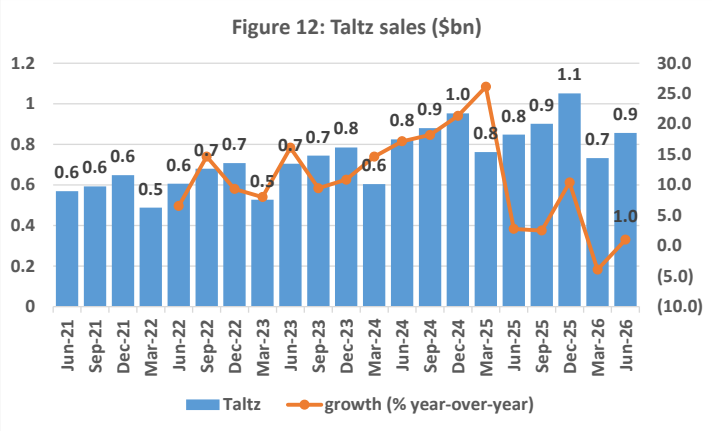

Figure 7: Mounjaro sales ($bn)
Mounjaro
growth (% year-over-year)

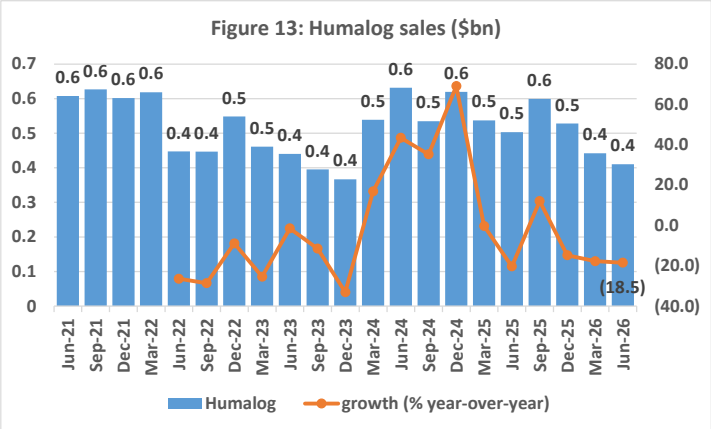

Figure 8: Zepbound sales ($bn)
Zepbound
growth (% year-over-year)

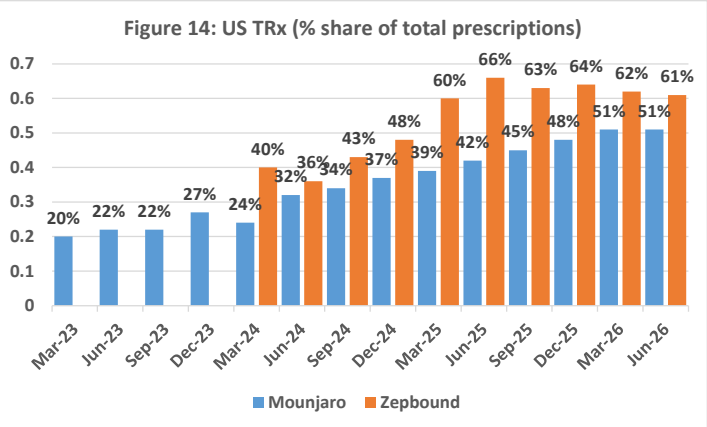

Figure 9: Trulicity sales ($bn)
Trulicity
growth (% year-over-year)


Figure 10: Verzenio sales ($bn)
Verzenio
growth (% year-over-year)









Mounjaro is the injectable dual GLP-1/GIP for type 2 diabetes. Zepbound is the injectable dual GLP-1/GIP for obesity. Trulicity, the former diabetes cash cow that is being actively cannibalized by Mounjaro, is the injectable GLP-1 for type 2 diabetes that was never approved for weight loss. Verzenio is the non-GLP-1 blockbuster (breast cancer). Jardiance, Taltz and Humalog are legacy blockbusters (diabetes, psoriasis/psoriatic arthritis and insulin, respectively).

Why we own

Eli Lilly is the leading player in the incretin drug category, the GLP-1/GIP-based hormone therapies that have become the standard of care for type 2 diabetes and, increasingly, obesity. Its two flagship products, Mounjaro (diabetes) and Zepbound (obesity), are the same tirzepatide molecule sold under different labels, and together with the newer oral pill Foundayo, they now represent 2/3 of total company revenue. Lilly's business model is patent-protected chemistry, it develops, manufactures and sells therapeutics that reduce a chronic, enormous unmet need, and it gets paid through a mix of direct purchase, insurance reimbursement and PBM-negotiated rebates. The remaining 1/3 of revenue comes from a diversified base of oncology, immunology, dermatology and neuroscience products, alongside a legacy diabetes/insulin franchise that is now shrinking as patients migrate to the newer incretins. J.P. Morgan projects the global incretin market will reach $200bn by 2030, up from a US patient base of about 10mn today, projected to reach 25-30mn by the end of the decade, a market still expanding on volume even as per-patient pricing comes down. Lilly's moat rests on manufacturing scale, clinical data depth and payer/physician relationships built over decades running the world's largest diabetes-care franchise. It has committed $23bn+ to US manufacturing capacity since 2020 (including a new $4.5bn "Medicine Foundry" in Indiana), a scale advantage that is difficult and slow for challengers to replicate given the complexity of peptide synthesis at volume. Its dual GLP-1/GIP mechanism has produced superior head-to-head efficacy data against Novo Nordisk's single-agonist semaglutide, and its next-generation pipeline, the oral small-molecule orforglipron (Foundayo) and the triple-agonist retatrutide, which management has described as approaching bariatric-surgery-level weight loss in trial data, is designed to extend that lead rather than cede it as the category matures. This remains fundamentally a two-company race with Novo Nordisk, and high clinical-trial, regulatory and manufacturing barriers keep it that way for now, though pricing power is already eroding (this is an entirely volume-over-price growth story at this point). With a leading and defensible position in a massive addressable market, Lilly should remain a core position in PFOE.